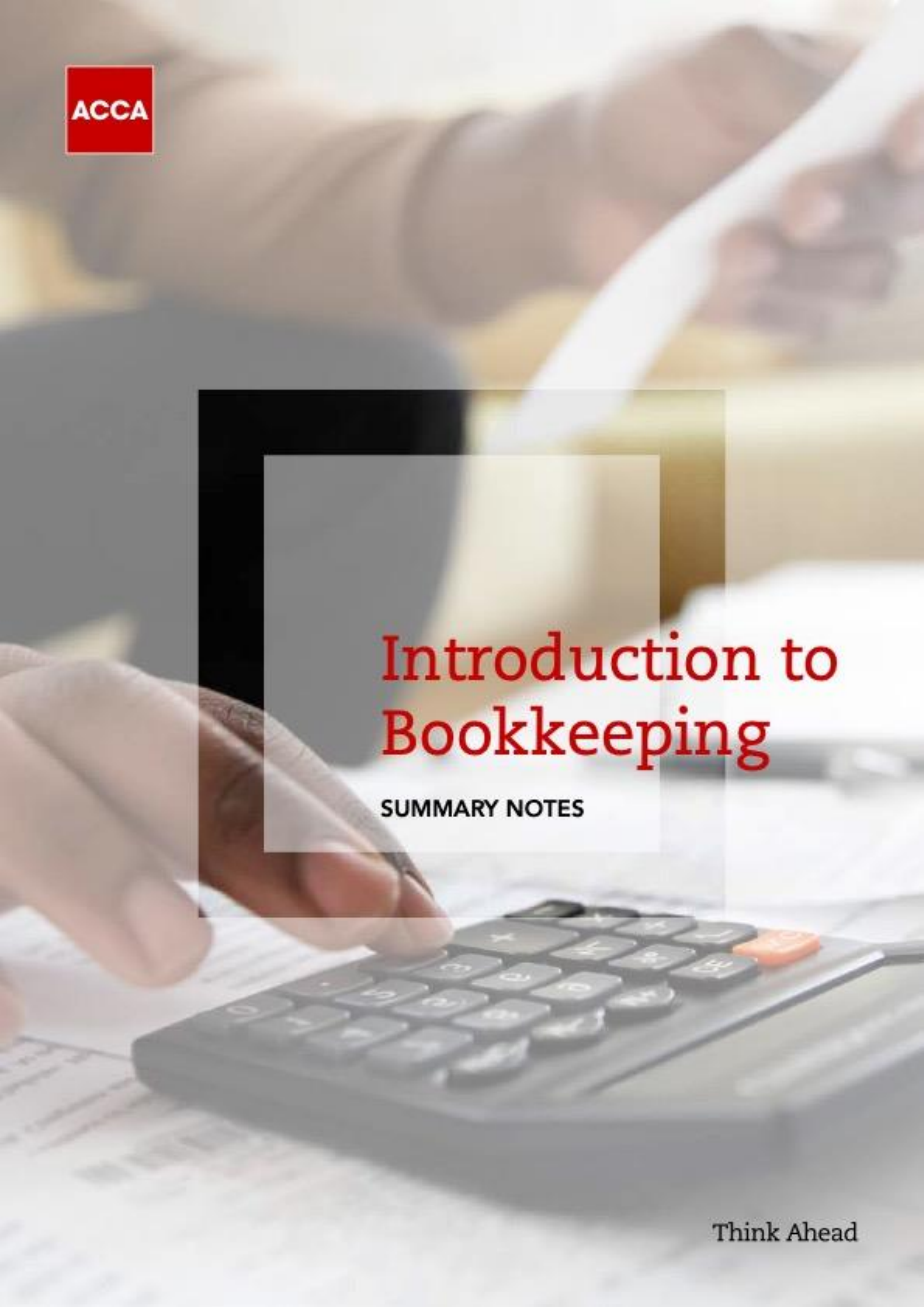


ACCA

Introduction to Bookkeeping

SUMMARY NOTES

Think Ahead

Contents

FA1 Section 1

Lesson 1: Introduction to recording business transactions

Types of financial transactions include:

- **Sales** – exchanging a good or service for money
- **Purchase** – buying a good or service using money
- **Payments** – transfer of money to someone else (for example, for purchases or for wages to employees)
- **Receipts** – getting money from someone else (for example, from customers)
- **Petty cash** – cash used for paying for low value items with a small fund of cash
- **Payroll** – wages and salaries paid to employees, and any payroll taxes.

Financial documents

Quotation is a document sent by the seller with details of the price for each item.
Purchase order is a document that is completed by the customer and sent to the supplier showing what they would like to order.
Customer (sales) invoice is a document that shows the customer how much they owe the supplier for the goods purchased on credit.
Delivery note is a document created by the supplier which accompanies the goods that are delivered and is signed by the customer when delivered. It can also be used to check against as the order by the supplier to ensure the correct goods being sent.
Credit note is a document issued by the seller to reduce the value of the previously issued invoice due to faulty or damaged goods being supplied.
Statement of account is a document sent to a customer with details of all transactions between the parties. The statement also highlights the balance owed to the supplier at the end of the month.
Remittance advice is a document sent by the customer to the supplier to inform them that payment has been made and which invoices are being paid. Often the customer uses the detachable slip provided by the supplier at the bottom of the statement.

Debit note is a document issued by the customer to the supplier to request a credit note.

Petty cash voucher is a document slip that fits within the petty cash tin to record any payment from the petty cash fund.

Lesson 2: The accounting equation and double entry

Elements of financial statements

Asset: A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits. Assets can be divided into **current** and **non-current**.

Current assets are generally expected to be used up, sold or collected in a short period (generally less than 12 months). Examples of current assets are:

- inventory
- receivables
- money in the bank
- cash

Non-current assets are assets that the business expects to continue using for a number of years in the business. For example:

- equipment
- vehicles
- furniture
- buildings

Liability: A present obligation of the entity to transfer an economic resource as a result of past events. Liabilities can be divided into **current** and **non-current.**

Current liabilities may include:

- an overdrawn bank balance
- a business credit card amount outstanding
- payables
- tax owed by the business to tax authorities

Non-current liabilities may include:

- a long-term loan from the bank

Income: Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims.

Income reflects all sales made to customers in the year, regardless of whether they have been paid for. Cash inflows from shareholders are not income.

Expense: Decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to holders of equity claims. Expenses are the day-to-day costs of running the business. Payments to shareholders (such as dividends) are not expenses.

Equity (capital): The residual interest in the assets of the entity after deducting its liabilities. For a sole trader or partnership, it is also called capital and reflects the amount which the business owes to its owners.

Accounting equation

ASSETS – LIABILITIES = CAPITAL

Entries into the general ledger use **double-entry** bookkeeping. Double entry means that for every accounting transaction there will be two impacts. We call one of these a **debit** and the other a **credit**.

This is the expanded accounting equation:

Assets + Drawings + Expenditure = Capital + Liabilities + Income

The accounting equation is connected to double entry – **debits** on the **left side** of the equation and **credits** on the **right**.
Each transaction will involve a debit entry and a credit entry.
The value of the **debit entries** must be the same as the value of the **credit entries**, so that the accounting equation remains in balance.

Category	**A debit entry will...**	**A credit entry will...**
Asset	Increase an asset	Decrease an asset
Drawing	Increase drawings	Decrease drawings
Expenditure	Increase an expense	Decrease an expense
Capital	Decrease capital	Increase capital
Liability	Decrease a liability	Increase a liability
Income	Decrease income	Increase income

The DEAD CLIC rule is a way of remembering debits and credits:

Debit for INCREASES in

Expenses
Assets
Drawings (when the owner of a business, but not a company, takes money out of the business for personal use)

Credit for INCREASES in

Liabilities
Income
Capital

The general ledger

A ledger in accounting is a book or a digital record in a computerised accounting system containing bookkeeping entries for a particular type of transactions. The general ledger is where all the double entries are recorded. It contains separate accounts for the **assets, liabilities, capital, expenses** and **income** of a business.

When we post to the general ledger account, we use the **double-entry** bookkeeping.

The ledger accounts within the general ledger are often called T-accounts, because we usually draw them up in a T-shape, with debit entries on the left-hand side and credit entries on the right-hand side. See example below:

Account name

DR					**CR**
Date	**Narrative**	**$**	**Date**	**Narrative**	**$**

Each ledger account in the general ledger will have a **code** – this is particularly important when using accounting software.

Lesson 3: Accounting data and systems

In order to be useful accounting data has to have certain characteristics as summarised below:

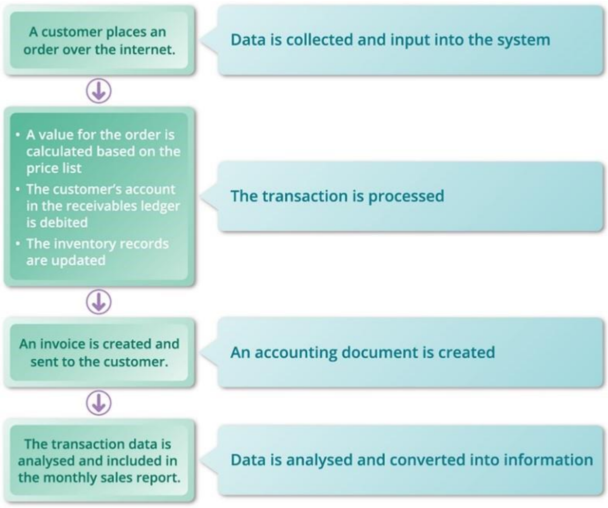
- **Relevance**: Information is relevant when it can influence the economic decisions made by users. Information is also relevant if it can be used to confirm past historical trends and predictions and predict future conditions and direction.
  Accountants often talk about "materiality" in the context of relevance. An item is material if omitting, misstating or hiding it would influence the decisions that users of the financial statements would make. Items might be material due to their size, or due to their nature.
- **Faithful representation**: Information should faithfully represent the transactions and events of the business. It should be:
  - complete: all transactions and balances have been recorded,
  - neutral: unbiased and free from manipulation,
  - free from error.
  - Neutrality may require the exercise of prudence. Prudence means that when making estimates, in conditions of uncertainty, caution must be exercised, to ensure that revenue and assets are not overstated, while expenses and liabilities are not understated.
- **Comparability**: Useful financial information of a business can be compared to prior period information and different businesses in the same industry. Comparisons can be analysed to identify trends and similarities.
- **Verifiability**: Means that the information can be supported by evidence. This usually means having supporting financial documentation or a means to count physical items (i.e. purchased goods or cash).
- **Timeliness**: Means receiving up-to-date information in time for it to be useful. Generally, the older the information is, the less valuable it becomes.
- **Understandability**: Information needs to be of sufficient quality to enable users with a reasonable knowledge of business and accounting to understand its meaning. Financial transactions should be classified, and information presented clearly and concisely with limitations on jargon used.

Computerised systems

In the FA1 exam, there is an assumption that businesses will be using computerised accounting systems where the sales and purchase modules are integrated with the general ledger module.

The general ledger will automatically be updated with relevant journals when sales invoices and credit notes are produced by the sales module, or when purchase invoices or credit notes from suppliers are entered into the purchase's module.

Below is an example of a procedure for processing a purchase order received digitally through a computerised system.



Document retention

Document retention means keeping paper or digital information and documents for your business. It is important to keep the documents because:

- You need to comply with legislation
- You may need to check back for a document from several years ago
- You may need to refer back to information that has happened in the past, for example, emails that contain important information
- Some information is required permanently – we call them the master files.

What is an account code?

An **account code** is a unique group of numbers and/or letters that is used to identify an account and classify it into a particular group. For example, a business will assign a unique number to identify each of its customers. Account codes are also used in the ledger accounts for the different types of income, expenditure, assets and liabilities accounts.

Examples of general ledger accounts:

GL200	Sales
GL250	Discount received
GL400	Non-current asset – Furniture
GL501	Stationery
GL502	Purchases
GL700	Receivables
GL800	Payables
GL900	Sales tax

FA1 Section 2

<u>Lesson 1: Introduction to sales on credit</u>

Invoicing and sales tax

What is a customer (sales) invoice?

A customer (sales) invoice is a financial document sent from a business to the customer, highlighting details of the sale transaction. It includes information such as the name and address of the buyer and the seller, the items that were sold, and the price of the items. If sales tax is payable, it will also give the details on the invoice.

The double entry for recognising a credit sale is:

DR Trade receivables

CR Sales

What is sales tax?

Sales tax is a tax imposed by tax authorities or governments – a percentage is charged on goods and services sold.

Output sales tax is the sales tax charged on the goods sold to customers of the business. The output tax is owed to the tax authorities.

Input sales tax is the sales tax added to items purchased for use in the business. It can be reclaimed (get the money paid back) from the tax authorities.

If the output tax is higher than the input tax, the business owes this money to the tax authorities. If the input tax is higher than the output tax, the business can generally reclaim this money from the tax authorities.

Trade discount

A trade discount is a reduction in the amount that charged to a customer.
A trade discount is deducted from the price of the goods before the sales tax is calculated.

Settlement discount

A **prompt payment discount**, also known as **cash discount** or prompt payment **discount**, is offered to encourage credit customers to pay earlier than the standard credit agreement time.
The total invoice amount is the amount **before** the settlement discount. The discount will only be applied if the customer pays early.

Credit notes

A credit note is issued if there is a problem with goods that have already been invoiced or if the invoice amount was overstated by mistake.

Customer account statements

The **account statement** shows all the invoices and credit notes sent to the customer during the month and any payments received.

Aged receivables analysis

Money owed to our business by customers is called **receivables** or **accounts receivable**. A business needs to know on a regular basis which customers owe money and when it is due (known as an **aged receivables analysis**).

Irrecoverable debts

If a customer has serious financial problems, they may not be able to pay any of what they owe. Sometimes, they may be able to pay only part of what is owed. The term for this serious difficulty is **bankruptcy** when talking about an individual person, and **insolvent** for a company**.**

Removing the irrecoverable debt from the accounts is also known as **writing off** the debt. If we did not make these entries, then the amount owing would continue to be shown, even years later. This would be misleading, as we would be showing it as an asset, but in fact it has no value because the money will never be paid.

An irrecoverable debt is written off as following in the general ledger accounts:

DR Irrecoverable debts (Expense increased)

CR Receivables (Asset decreased)

In cases where a customer pays part of the amount owed, only the remaining unpaid portion is written off to the expense ledger account.

Lesson 2: Introduction to purchases on credit

Supplier (purchase) invoices

A supplier (**purchase) invoice** is an invoice received from a supplier who have bought goods or services on credit. It gives the details of what the item is, the amount bought, the price and the length of the credit terms (for example, 30 days). When a business receives an invoice from a supplier for the goods purchased, it is a purchase invoice from the business' point of view. From the supplier's point of view, it is their customer (**sales) invoice**.

The double entry to record a credit purchase is:

DR Purchases

CR Trade payables

In a computerised accounting system, the journal entry is posted automatically when the invoice is entered into the system.

Checking supplier invoices

Before a supplier invoice is paid, it should be checked against supporting documents, such as;

- Purchase order
- Delivery note
- Goods received note

The organisation will have a **coding system** for supplier invoices, which will identify the supplier, the type of goods etc.

Coding helps post transactions accurately so that invoices are paid on time, and it helps find the documents quickly in the filing system.

When a **purchase invoice** is received from a supplier and authorised, it is entered in the purchase module and a journal entry is automatically coded and posted to the relevant general ledger accounts: purchases and trade **payables**.

Credit notes received from suppliers are entered into the **purchase returns account**.

Supplier statement reconciliations

Before paying a supplier, the business must verify the amount payable using the statement received from the supplier. For each supplier, an accountant checks the financial documents recorded in the supplier's statement, such as invoices, credit notes and payments against the transactions posted in the accounting system for the same period. The process is called **supplier reconciliation**.

The two sets of records do not always match due to the **timing differences**. Some of the invoices or credit notes might be not received yet from the supplier at the statement date, or some of the payments made in the last few days before the end of the period might have not yet appeared in the statement.

Closing off ledger accounts

The **balance carried down (c/d),** also known as the **balance carried forward (c/f),** is the amount that is in the account at the end of the accounting period. It is carried forward to the next accounting period.

The **balance brought down (b/d),** also known as **the balance brought forward (b/f),** is the opening balance in the account which has been brought forward from the previous accounting period.

Once all the transactions for the period have been entered, the account can be balanced and closed off as follows:

1. Sum the debit side and note the total. Sum the credit side and note the total.
2. Whichever is the larger will be the total on both sides.
3. Insert the balancing figure so that both sides are equal (balance c/d)
4. If the sum of the debits exceeds the sum of the credits, the balancing figure is a debit balance. This is brought down (b/d) on the account's debit side.

If the sum of the credits exceeds the sum of the debits, the balancing figure is a credit balance. This is brought down (b/d) on the credit side of the account.

FA1 Section 3

Lesson 1: Banking – receiving and making payments

Banking institutions

There are a number of types of banking institution – retail banks, building societies, credit unions, investment banks and central banks.

Most day-to-day banking by individuals and businesses is done using **retail banks**.
A business can open a **current account** at a retail bank, which allows money to be paid in and enables the business to pay money out of the account. It usually pays a low rate of **interest** or none at all, so is not a good place to keep savings or large amounts of money.

There are different ways businesses can receive payments from their customers and make payments to their suppliers:

- Cash payments
- Cheque payments
- Electronic Funds Transfer at Point of Sale (EFTPOS – i.e. credit or debit card payments)
- Electronic bank transfers (for example, through online banking)

All the payment types may appear on a business bank statement.

A **paying-in slip** is a document where cheques and cash are recorded to show the amount of money paid into the bank account. Cash and cheques received each day are added together and a paying-in slip completed.

Sometimes a business might want to make a cheque payment for which they have not received an invoice yet or will not receive an invoice. If this is required, then the employee will complete a **cheque requisition form** instead of submitting the invoice for payment.

Electronic Funds Transfer at Point of Sale (EFTPOS)

EFTPOS is a system of paying for goods in shops and businesses using credit cards (and also debit cards). The payment from the customer's account is electronically transferred directly to the business's account. EFTPOS uses handheld machines.

Payments can also be made by **standing order**, **direct debit** or **bank transfer**.

Remittance advice

The **remittance advice** shows how much the customer is paying and which invoices and credit notes it relates to.

Bank reconciliation

At the end of each period, businesses will receive a bank statement with details of all transactions within the business bank account.

A bank reconciliation is performed by comparing the information from the bank statement and the bank ledger account.

Differences between the cash balance in the bank ledger account and the balance on the bank statement can be due to:

Timing differences such as:

- **Unpresented cheque** is a cheque payment made to a supplier, and the supplier has not deposited it yet. Since there is no payment out of the bank account, the bank statement will not reflect this transaction while the bank ledger account has.
- **Outstanding lodgement** is cash or cheque payments received and taken to the bank but not yet processed and recorded in the bank statement. This could be due to cheques cashed on the same day the bank statement is prepared.
- **Direct credit receipts or payments** which take a few days to clear in the bank may also cause a timing difference between when the transactions were made and when they appear on the bank statement.

Omission of transactions such as direct debits, standing orders, bank charges or bank interest received which may be on the bank statement that have not been recorded in the bank ledger account.

Errors: Transactions were posted twice, or an incorrect amount was posted into the Bank Ledger Account. Or, rarely, there may be a mistake on the bank statement.

Once any additional items have been entered in the bank ledger account and any errors corrected, the reconciliation will be:

Balance per bank statement	X
Less unpresented cheques (uncleared payments)	(X)
Add outstanding lodgements	<u>X</u>
Balance per corrected bank ledger account	<u>X</u>

Lesson 2: Petty cash

Petty cash is the cash (notes and coins) that a business holds in order to pay for low value items and to deal with any other transactions which require cash.

- The petty cash of a business is usually kept in a **petty cash tin** or **box**.
- This may be kept in a safe on the business premises.
- The tin should include all the **petty cash vouchers** which will be issued to support any movements of cash.
- When money is taken out of petty cash in advance of the transaction, an I.O.U. (I owe you) note should be put into the tin. This I.O.U. is simply a note which includes details about:
    - The amount of money taken out of the petty cash tin
    - The date
    - Who has received the money
- Once the item has been purchased and any change is returned to the tin, the I.O.U. is taken out and replaced with a petty cash voucher (also known as a petty cash receipt).
- A petty cash voucher is a paper form used to record the details of payments from petty cash.
- If an employee has spent their own money on an item for the business and is paid back from petty cash, then the petty cash voucher will be raised at the point that the employee presents the receipt as proof of purchase.
- A receipt showing proof of purchase must be provided to pay money from petty cash.
- Petty cash vouchers should be issued in number order.
- Each petty cash voucher will include information about the transaction: date, description, and amount.
- The petty cash voucher will also include the signature of the **person receiving the petty cash** (who makes the business transaction) and the signature of the **person responsible for petty cash** (as authorisation).
- Each petty cash voucher must have a **supporting receipt** attached to it. The supporting receipt is evidence of the item that was purchased.

Imprest and non-imprest system

A business may use an **imprest** system or a **non-imprest** system to replenish petty cash.

If an imprest system is used, the cash balance on hand is always topped up to a fixed amount (the **float**).

If a non-imprest system is used, the box is simply topped up when cash on hand is getting low.

We can define the imprest system using an equation:

Imprest = Balance in the petty cash tin + the total $ amount of the petty cash vouchers in the tin.

Petty cash receipts may include **sales tax,** and this will have to be separated out. For instance, if an item includes sales tax at 20%, the total amount paid represents 120%, so the sales tax will be:

Receipt total × 20/120

At the end of the week or month the procedures to account for petty cash are carried out.

The petty cash process accounting process can be broken down into **six steps**:

Step 1 Record petty cash vouchers in the petty cash account using journals

Step 2 File petty cash documents (e.g. petty cash vouchers and receipts)

Step 3 Physically count the petty cash

Step 4 Close off petty cash account

Step 5 Reconciliation between balance in petty cash account and cash-in-hand

Step 6 Reimburse (or replenish) the petty cash tin

The petty cash expenditure for the period will be posted to the ledger accounts using **double-entry** bookkeeping. For instance:

DR Postage	\$50	
DR Stationery	\$100	
CR Petty cash		\$150.

Reconciliation between cash-in-hand and petty cash account

Reasons why there might be a difference between the total of the cash count and the balance c/d in the petty cash account:

- The numbers or notes and coins could have been miscounted or mis-recorded on the cash count sheet.
- The calculation s of the $ amounts for each type of note or coin could be wrong on the cash count sheet.
- The total $ amount could have been incorrectly calculated on the cash count sheet.
- The petty cash vouchers might have been in correctly recorded in the petty cash account.
- A petty cash transaction might not have been recorded on a petty cash voucher.
- Cash might have been stolen from the petty cash tin.

The table also lists out the actions that you need to take if the petty cash account and cash count sheet totals do not agree:

Category		Action
Error on the cash count sheet	→	Recount the cash and amend the cash count sheet
Error in the petty cash account	→	Correct the petty cash account
Omission from the petty cash account	→	Record any transactions missed in the petty cash account and recalculate balance
Theft	→	Investigate security procedures. The cash lost will need to be recorded as cash out (a payment) in the petty cash account

Reimbursing petty cash

Reimbursing petty cash be worded in a question as 'restoring the imprest' or 'topping up to the imprest' or 'reclaimed'.

Calculating this amount can be done in a couple of ways, depending on the information given in the question:

Top up amount = Payment vouchers – Receipts vouchers

If the question had included IOU's, these would be treated the same as payment vouchers as they represent money paid out of the petty cash tin.

Top up amount = Payment vouchers + IOUs – Receipts vouchers

You could also get a question that is a variation of the following formula:

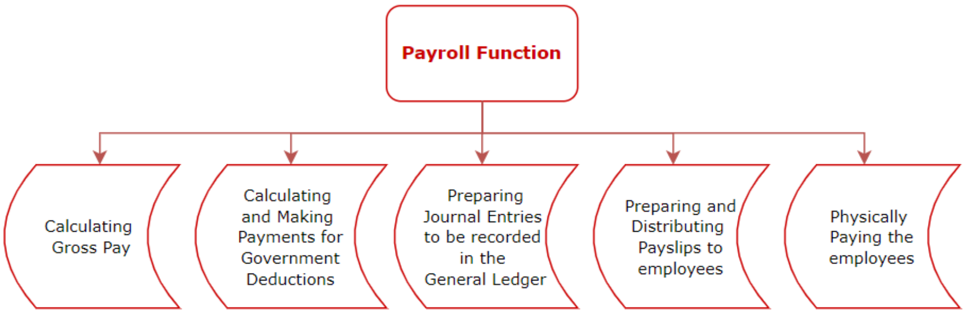
Imprest amount = Cash in tin + IOUs + payment vouchers – receipt vouchers

FA1 Section 4

Lesson 1: Payroll

The payroll department is an important part of a business because it is responsible for ensuring that the business (which is known as the employer) has met its obligation to pay wages and salaries to the employees who work for the business.

The responsibilities of the payroll function include:



Many governments expect employers to make **deductions** from employees on the government's behalf for:

- taxes
- state benefit contributions

The business may also make deductions for a **work-based private pension**.

These are paid to the private pension fund. It is an investment savings pot where individuals invest part of their gross earnings to be withdrawn after retirement.

In many countries the employer will have to pay **additional state benefit contributions** (in addition to the amount that is deducted from the employee's gross pay).

This will usually be a percentage of an employee's gross pay. So, the **true cost** of employing a person is not only their gross salary but the additional state benefit contributions the employer has to pay and any additional employer contributions.

The payroll department is responsible for calculating the **gross pay** for each employee. Gross pay is the amount each employee earns before any deductions are made.

Wages will usually be based on the hours worked and the hourly rate, or the piecework rate. Salary will be a fixed amount each month. There may also be overtime or bonuses to consider.

Payments to employees need to be accounted for and recorded in the general ledger accurately. The payroll department is responsible for creating a **journal** to record the payroll information each time payments to employees are made.

The employee's payslip will show the following:

Gross pay
Deduction from employee for income tax
Deduction from employee for state benefit contribution
Deduction from employee for contribution to pension fund, if applicable
Net pay

The monthly journals will be as follows:

DR: Employee expense account (an expense account)
CR: Payroll (liability) account

With the total cost to the employer.

DR: Payroll Liability account
CR: Income tax liability account or state benefit liability account or pension fund liability account

With the amounts owed for income tax, state benefit contributions or pension contributions.

The double entry for payments to employees is

DR: Payroll Liability account
CR: Bank

With the amount paid to the employees (their net pay).

Payment will be made to the tax authorities and pension fund in the following month.

DR: Income tax liability account or state benefit liability account or pension fund liability account
CR: Bank

With the amounts paid to settle the liability accounts.

Payroll liability should balance to zero every period end.

FA1 Section 5

Lesson 1: Manual journal entries

A manual **journal entry** is a record of an accounting entry with both a debit and a credit which needs to be made in the general ledger. Therefore, a journal is part of **double-entry** bookkeeping.

A manual journal entry may involve a number of different general ledger accounts, but the basic format is the following:

	$	$
DR General ledger A/C 110	100	
CR General Ledger A/C 134		100
Narrative (explanation)		

Why is a manual journal entry used?

Manual journal entries are used in a variety of situations to:

1. Record unusual or one–off transactions
2. Record end of period adjustments
3. Correct errors in the general ledger

Lesson 2: Trial balance

A **trial balance** is a list of all the closing balances from the ledger accounts in the general ledger.

It is a test of the completeness of the double entry for the transactions recorded. It is also used to prepare the financial statements – **the statement of profit or loss** and **the statement of financial position**.

For the trial balance to balance, the total of the **debit balances** from the ledger accounts should equal the total of the **credit balances**.

In order to create a trial balance, we follow these steps:

1. Close off the ledger accounts
2. Prepare an initial trial balance
3. Check for errors and make corrections
4. Prepare a final trial balance

Debit balances in the trial balance are:

Expenses (for example, telephone and rent)
Sales returns
Purchases
Drawings (where the owner takes money out of the business for personal use)
Assets (for example, motor vehicles, cash, receivables and inventories).

Credit balances in the trial balance are:

Income (for example, rent, bank interest received, and discount received)
Sales
Purchase returns
Capital
Liabilities (for example, loans and payables).

Lesson 3: Correction of errors in the trial balance

There are a number of errors that can arise when recording transactions which will not be disclosed by preparing a trial balance. This happens when incorrect entries are made but overall, the total of debits equals the total of credits. Therefore, although some of the entries in the trial balance are incorrect, it still balances.

An **error *o*f commission** occurs when a transaction has been posted to the wrong account of the same 'type'. Examples of type of account are expense, asset, income or liability.
An **error of principle** occurs when a transaction has been posted to an account of a different 'type'.
An **error of omission** occurs when something is 'omitted' – left out or simply not posted to the accounts.
Reversal of entries occurs when equal debits and credits are posted, but to the wrong sides of the accounts.
Errors of original entry an error of original entry occurs when a transaction has been posted with an incorrect amount. Both sides of the account are posted with the wrong amount. An example of this is a transposition error, this occurs when two consecutive numbers are swapped around in error.

All of these errors are corrected by manual **journal entries**.

When we prepare the manual journal entry to correct an error, we also need to make the adjustments in the appropriate **ledger accounts**. We then close off the adjusted ledger accounts and redraft the trial balance.

Sometimes, the trial balance includes a suspense account. There are two types of error that will result in a suspense account:

Error of Partial Omission: An error of partial omission occurs when only one side of the entry (either debit or credit) is posted in the general ledger.

Error of Posting: An error of posting occurs when either the debit or credit entry is posted with an incorrect value.

The suspense account is a temporary general-purpose account in the general ledger. You can enter a balance in the suspense account to make the trial balance agree while you investigate why there is a difference.

The balance transferred from the trial balance to the suspense account will need to be investigated and cleared to the correct ledger accounts. To do this, several steps are taken:

- A full review of the ledger account balances in the trial balance is undertaken to identify any errors made.
- A manual journal entry is prepared and completed to correct the errors. This entry should clear the suspense account balance.
- The corrections are entered into the appropriate ledger accounts.
- The trial balance is re-drafted.

Note: The balance on the suspense account may be the result of more than one error. For instance, if a debit account (rent) is overstated by 150 and a credit account (sales) is overstated by 70, the suspense account will have a credit balance of 80. Both errors will have to be found and corrected in order to clear the suspense account.

The correcting manual journal entry will be:

DR Sales	$70	
DR Suspense	$80	
CR Rent		$150